While visiting Vengoor village near Ernakulam, on an outreach trip in March 2011, I had thrown a challenge to Union Bank of India (UBI), the lead bank of Ernakulam district, that they should make it the first district in the country to achieve 100 per cent ‘meaningful’ financial inclusion—i.e. not only should every household have a bank account, they should also be using the account actively and regularly.

The choice of Ernakulam was significant. Ernakulam was the first district in the country to have achieved 100 per cent family planning, in the 1970s; it was the first district in the country to have achieved 100 per cent literacy, in the 1980s; achieving 100 per cent financial inclusion would therefore be a logical sequel. UBI set about the task with impressive diligence, and working along with the state government and the Unique Identification Authority of India (UIADI), reported by mid-2012 that they had achieved 100 per cent ‘meaningful financial inclusion’ in Ernakulam. We planned a big celebration, together with the state government and UBI, to mark this achievement, in part to showcase Ernakulam as an example for other districts in Kerala and indeed in the country. Chief Minister Oomen Chandy, Nandan Nilekani of UIADI, Debabrata Sarkar, chief of UBI, and I attended the celebration in November 2012.

Even as we were planning the celebration in Ernakulam, I had my own doubts about the claim of 100 per cent ‘meaningful’ financial inclusion. So, three months ahead of the launch, I asked our staff to commission a study in Ernakulam district on the lines of ‘portfolios of the poor’.

We found that financial inclusion in Ernakulam was more meaningful than elsewhere in the country, and since the launch of the drive, the banking habit had certainly increased. Even so, there was a significant segment of households still operating in the informal markets. They were still saving through chit funds, and borrowing from moneylenders.

I realized that we were quite some way away from 100 per cent meaningful financial inclusion. All that we need to do to achieve cent percent ‘meaningful’ financial inclusion remains an open question. Keeping our ear close to the ground will take us closer to an answer.